that Ratan exhorted the management to ensure that there was a ‘daylight’ of difference amongst the different categories of hotels.

Puneet Chhatwal, the current MD and CEO of IHCL, states that diversifying the hotels into various categories was the ‘natural thing to do’ and that it was in accordance with the founder’s philosophy, who had said that ‘community is not another stakeholder but is, in fact, the very purpose of [our] existence’. If there was no distinction, the company would not have been able to mark its presence in the Northeast, for instance, when it opened Vivanta Meghalaya in October 2022, its first ever hotel in the state. Opening a Taj there would not have been a viable option in view of its higher tariffs, he says.

The decision Ratan took to segregate the categories could not have come earlier. It was imperative to clean up the ‘brand architecture’, says Misra. This was necessary to remove any confusion, especially among the foreign clients, as they contributed 55 and 95 per cent of the domestic and international businesses respectively, says Bickson. A leading US-based international brand-consulting company, Landor, was engaged to recommend a branding strategy. It was a massive project that took four to five years. Each asset was mapped and discussed with Krishna Kumar. The final decision was taken by Ratan, who insisted on an elaborate presentation and analysis of the reasoning for the categorization of each hotel, Misra explains.

With the objective of making a rational categorization, the Taj brand reorganized itself to provide clarity on the segments it operated—luxury, business, leisure (including palaces, garden retreats and beach resorts), air catering and international operations. To sharpen the focus, each segment was given a separate management. The company also changed its corporate identity from the Taj Group of Hotels to Taj Hotels, Resorts and Palaces.

In 2004, Landor initially recommended the creation of three brands—Taj, Vivanta by Taj and Ginger. Subsequently, the ‘Gateway’ brand was added to the category. The categorization was a drastic shift from the mono brand of Taj Hotels. The core of Ratan’s strategy was the ‘major overhaul of the brand’ and introduction of ‘new brands’ to ‘position IHCL for growth domestically’ and compete effectively with ‘international hotel brands’ which were keen to enter the Indian market, says Bickson. It was based on the need to adopt the ‘branding imperatives’ of ‘segmented product offering’, ‘segmented pricing’ and ‘segmented communication’.